

Promotion of SPAC mergers was unblushing. Nikola, an electric truck start-up, released a video of a truck barreling downhill, embedded in a tweet reading “Behold, the Nikola One in motion.” According to the SEC, the video was posted on Nikola’s corporate Twitter and Facebook accounts in early 2018 (prior to its May 2018 SPAC merger), and it remained posted and available to investors at least until September 2020. Investors thought they had found the next Tesla, and the stock soared to 73, making it more valuable than Ford, although it had yet to sell a single vehicle. According to an SEC cease-and-desist order issued 18 months after its SPAC merger, Nikola had made “scores of misrepresentations” to inflate its stock price. In particular, it omitted the detail that the truck in the video was not powered by a Nikola battery, or any Nikola part—it was rolling under the influence of gravity.¹⁵ After the fraud was revealed, the stock crashed.¹⁶ Although Nikola was an extreme case, it was common for SPACs to project sharply rising revenue and profits for targets that had little actual business. Dozens of SPAC deals subsequently (and quickly) missed their forecasts.¹⁷ The CEO of Arrival SA, an electric bus company (electric vehicles were a hot sector for SPACs) forecast ahead of its March 2021 merger that revenue would surge from zero to \$14 billion in three years. Later that year, the CEO said, simply and devastatingly, “We withdraw our long-term forecasts.”¹⁸ View, a company that made sunlight-sensitive windows, compared itself, in an

¹⁵ SEC Administrative Proceeding File NO. 3-20687, “In the Matter of Nikola Corp.,” December 21, 2021.

¹⁶ Nikola founder Trevor Milton was convicted of securities fraud on October 14, 2022.

¹⁷ Paul Kiernan, “SEC Proposes New Disclosure Requirements for SPACs,” *Wall Street Journal*, March 30, 2022.

¹⁸ Heather Somerville and Eliot Brown, “SPAC Startups Made Lofty Promises. They Aren’t Working Out,” *Wall Street Journal*, February 25, 2022.